Blue Ocean / ERRC Grid

Eliminate · Reduce · Raise · Create — open uncontested market space

PROFESSIONAL DEFINITION

Blue Ocean Strategy urges firms to stop competing in crowded 'red oceans' and create uncontested 'blue oceans' through **value innovation** — pursuing differentiation and low cost at once. The **ERRC grid** operationalises this: which factors to **Eliminate**, **Reduce**, **Raise** and **Create** relative to the industry.

WHO DEVELOPED IT

Developed by INSEAD professors W. Chan Kim and Renée Mauborgne in *Blue Ocean Strategy* (2005).

WHY IT WAS DEVELOPED

Head-to-head competition erodes margins for everyone. Kim and Mauborgne sought a systematic way to make the competition irrelevant by redefining the market.

FIGURE 1 · PROCESS VIEW

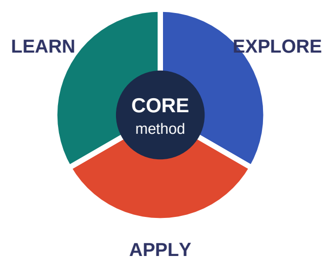

Figure 1. Blue Ocean / ERRC Grid framed as a continuous, iterative method — explore, apply and learn cycle back through the work rather than run once.

HOW IT IS USED

Map the industry's competing factors on a strategy canvas, then use the ERRC grid to reshape the value curve — dropping costly factors buyers don't value and creating new ones they do.

WHEN IT IS USED

Strategy formulation and radical ideation, when incremental improvement is insufficient.

BY WHOM IT IS USED

Strategists, entrepreneurs and innovation leaders.

INNOVATION RELATIVE TO PRIOR PRACTICE

It breaks the assumed **trade-off between differentiation and cost**, reframing strategy from beating rivals to creating new demand — a distinct move from Porter-style competitive positioning.

RELATED FRAMEWORKS IN THIS COURSE

2×2 Prioritisation Matrix *Slibrary 7* | **Vision Cone** *Slibrary 6* | **Define Success** *Slibrary 10*

SOURCES (HARVARD · CITE THEM RIGHT)

Kim, W.C. and Mauborgne, R. (2015) *Blue Ocean Strategy*, Expanded edn. Boston: Harvard Business Review Press.

Kim, W.C. and Mauborgne, R. (2004) 'Blue Ocean Strategy', *Harvard Business Review*, 82(10), pp. 76–84.